Opinion | Why the clock is ticking on the Fed-fuelled AI bubble

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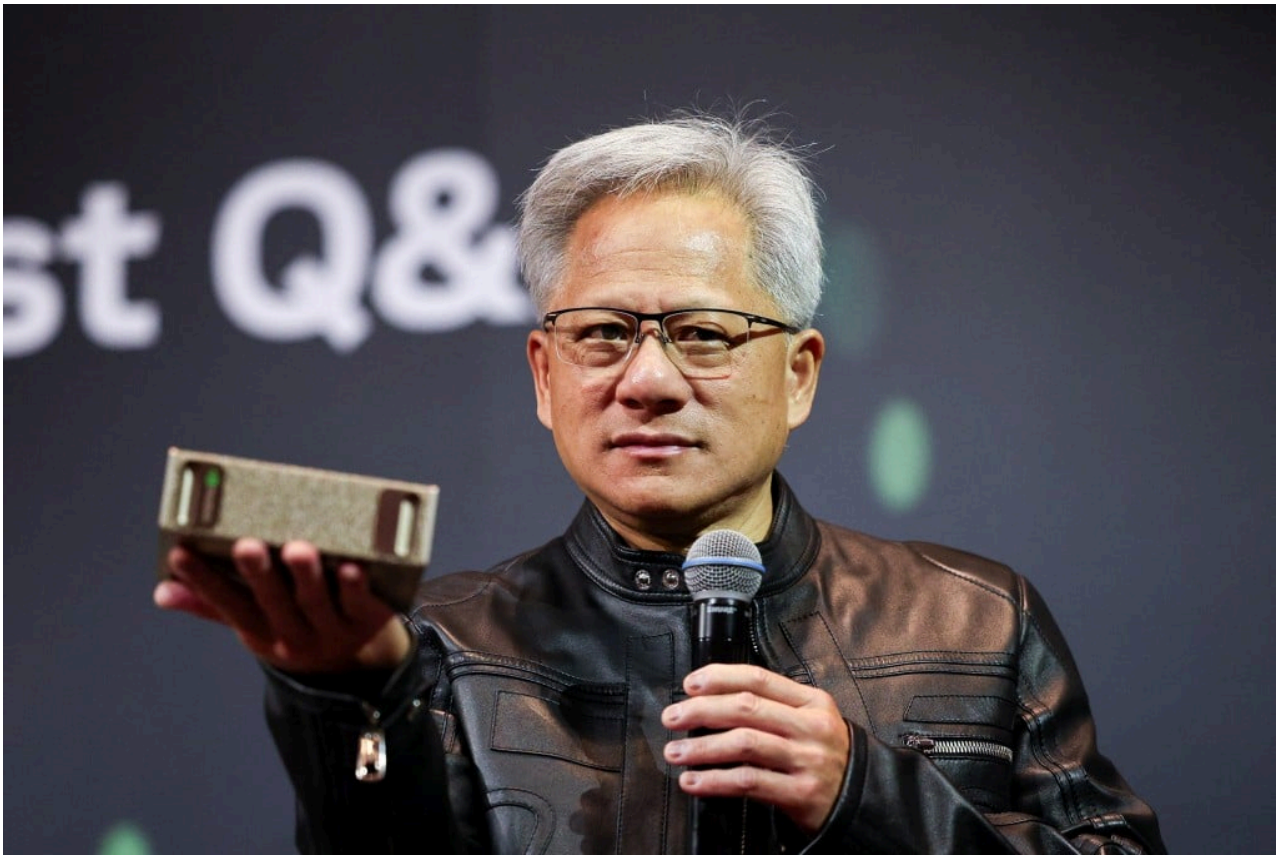
Andy Xie October 4, 2025



Artificial intelligence
OpinionWorld Opinion

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AI is being sold as the latest tech frontier and a key area of US-China competition, but one day the money inflating the bubble will run out

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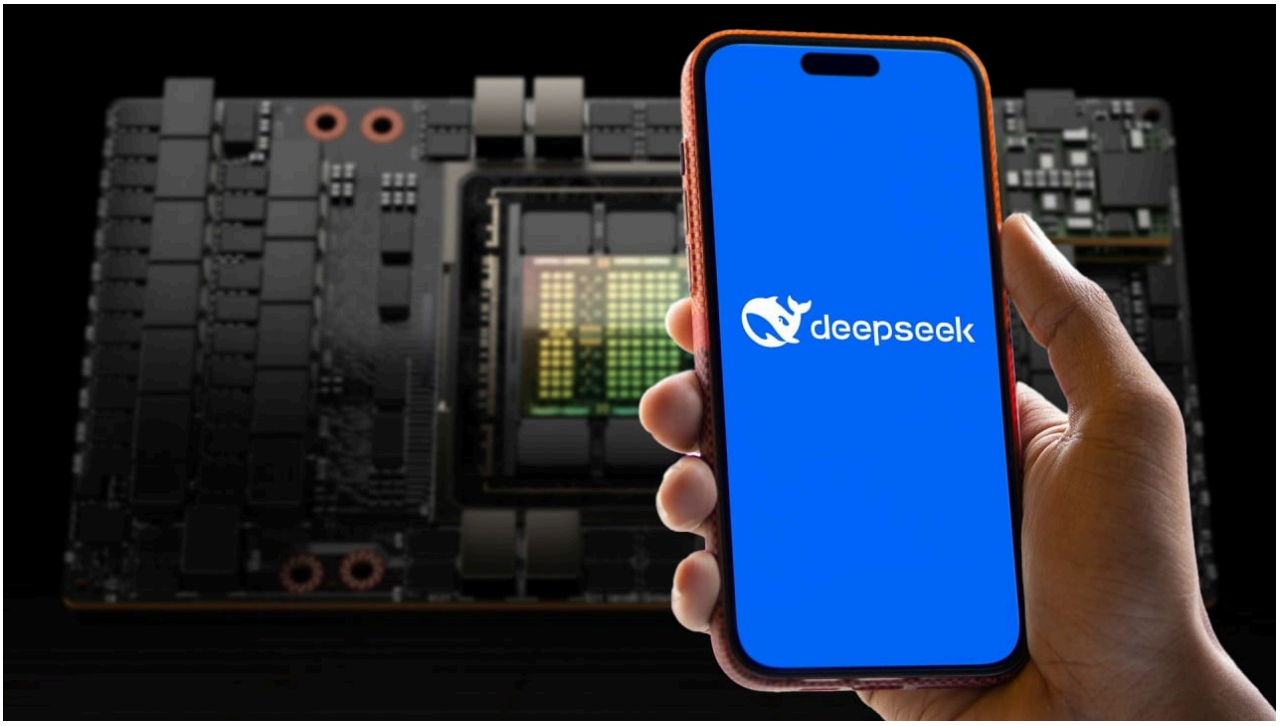
The AI bubble is entering extra time by walling in money and sharing it among key players. As profitable firms plug money back into loss makers, the net cash requirement for the bubble circle is being minimised for the collective loss. The next step is for profitable companies to sell stocks to raise cash and pump it into loss makers.
However, this extra time is likely to be measured in quarters, not years. It is possible that the US government will pump borrowed money into the bubble next, which could eventually destroy the market for US Treasuries.
WorldCom was caught committing financial fraud during the dotcom bubble. Fraud might appear to be an important source of money to keep these bubbles going, but if Cisco had invested massive amounts of money into WorldCom, there would have been no need for fraudulent activity. It seems the dotcom bubble players were not very sophisticated; otherwise, none would have gone to jail.

Nvidia recently reached an agreement to invest US$100 billion in OpenAI to support new data centres and other AI infrastructure. On its balance sheet, US$100 billion in cash will switch to an equity stake in OpenAI, while its chip order book is likely to rise by more than US$100 billion as the money could be leveraged by OpenAI in a leasing deal. Wall Street will hail the good news for Nvidia and push its share price higher.
OpenAI's latest flagship AI model, GPT-5, has disappointed some as it isn't much of an improvement on the previous version. But with so much money sloshing around, the company has the resources to pursue artificial general intelligence – essentially a digital god. In that case, a US$500 billion valuation for OpenAI might be a conservative estimate. After all, how much is God worth? That would be more good news for Nvidia, which would book billions in capital gains and thus justify more investment in OpenAI.
During the dotcom bubble, unprofitable companies were still raising money despite having no real prospect of becoming profitable. The market could only buy their nonsense for so long. But if they had spent their money buying something from a single source – Cisco, for instance – that company could have been valued at trillions of dollars, raising huge sums and investing them back in these unprofitable companies, which would send the money back to buy more stuff. The bubble could have lasted longer.



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Does the arrival of China's low-cost DeepSeek mean the end of Nvidia's chip dominance?

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Before its agreement with Nvidia, OpenAI secured a US$300 billion contract for computing power with Oracle, a deal that was larger than OpenAI's current revenue. OpenAI still has yet to turn a profit, yet it appears to have the Midas touch in creating trillion-dollar companies.

Some of AI's biggest proponents are convinced their product poses a threat to humanity, but before that happens we should value their start-ups at trillions of dollars. If we're all doomed anyway, why worry about money? But if these guys are wrong, then we'll be alive and poor while they have all the money.
Is AI a scam? Not necessarily. Function-specific AI, such as that used in autonomous mining, is already delivering benefits and raising productivity. However, the hype around AGI is most likely just that.
This cycle of keeping AI investment "in the family" could extend the life of the bubble for a while, but when it does finally pop, it will not be pretty. Some family members are already giving off worrying signs.

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China rolls out world's largest fleet of driverless mining trucks powered by Huawei tech

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AI, cryptocurrencies and meme stocks all boomed during the pandemic as central banks released trillions of dollars into the financial system. The US Federal Reserve played the most important role as its balance sheet expanded beyond US$5 trillion. Though the Fed's balance sheet is still bloated, it is trimming its holdings and tightening policy, and the rising cost of money is putting pressure on the AI bubble.
When a bubble expands to the limit that monetary conditions allow, signs of retrenchment will trigger tremors. The Fed is apparently feeling the pressure and has been slowing the pace of trimming.

AI is being sold as an important field of competition between the world's superpowers, but there will come a day when the bubble no longer has enough money to sustain it. The strategic angle of AI competition could lead the US government to pump money into the sector via another Treasury bubble, and the Treasury bubble depends on the US dollar retaining its status as the global reserve currency.

When the AI bubble finally pops, the effect could be severe enough to destroy all the factors that have supported the US economy for the past eight decades. This bubble could be the one that ends it all.

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Dr Andy Xie is a Shanghai-based independent economist specialising in China and Asia, and writes, speaks and consults on global economics and financial markets. He joined Morgan Stanley in 1997 and was managing director and head of the firm's Asia-Pacific economics team until 2006. Prior to that he spent two years with Macquarie Bank in Singapore, where he was an associate director in corporate finance. He also spent five years as an economist with the World Bank. He was voted one of the 50 most influential persons in finance by Bloomberg magazine in 2013.